320 MILLION
Number of crypto investors globally

$30 BILLION
(Rs 2.45 lakh crore)
Investments made in cryptos globally in 2021

15-20 MILLION*
Number of crypto investors in India

$6 BILLION*
(Rs 48,600 crore)
Investments by Indians in cryptos

(*As on Dec. 2021)

$26 BILLION
(over Rs 2 lakh crore)
FTX founder and former CEO Sam Bankman-Fried's wealth in March 2022

$1 BILLION
(Rs 8,100 crore)
His reported wealth immediately following the FTX collapse



"In the US, there are listed crypto futures and people are investing in tokens. There is no adequate control over these crypto exchanges in issuing these coins and tokens. The FTX case will have a ripple effect and may happen in many more exchanges"

KUNAL NANDWANI
Co-founder and CEO, u-Trade Solutions

per cent from that level. Ethereum, which hit a high of around $4,800 in November 2021, had fallen 73 per cent since. Binance Coin, which hit a high of $670 in May 2021, was down by 58 per cent.

REGULATORY ISSUES

One of the biggest concerns regarding cryptocurrencies is on the regulatory front. "FTX is a classic case of lack of regulations. Regulators have been clearly behind the industry's fast pace of growth," says Kunal Nandwani, co-founder and CEO, u-Trade Solutions, a fintech company. "In the US, there are listed crypto futures and people are investing in tokens. There is no adequate control over these crypto exchanges in issuing these coins and tokens." While the US has stringent norms in place to regulate the stock market, when it comes to cryptos, it is unregulated and reckless, he says. "The FTX case will have a ripple effect and may happen in many more exchanges," he cautions.

The FTX incident is not an isolated one. In July, Singapore-based Vauld, a crypto-lending platform founded by Indian entrepreneurs Darshan Bathija and Sanju Kurian, suspended its withdrawals and deposits, leaving nearly 800,000 subscribers in the lurch. Media reports claimed that a majority of the Vauld users were Indian, accounted for 20 per cent of the assets under management and had a daily volume of $10-15 million (Rs 81-122 crore) on the platform. The company blamed the volatile market conditions for this decision. Vauld's action came close on the heels of crypto platforms such as Celsius Network and Voyager Digital, both US-based, suspending trading, leaving hundreds of thousands of investors unable to liquidate their crypto assets.

CRASH COURSE

FTX, along with 130 other entities, filed for bankruptcy on November 11. The company said it has $10 billion (Rs 81,680 crore) to $50 billion (Rs 4 lakh crore) in liabilities, and more than 100,000 creditors

WHY FTX COLLAPSED

- Against its own terms of service, FTX lent $8 billion (Rs 65,344 crore) worth of its customers' assets to Alameda Research, a trading firm specialising in cryptocurrencies, also promoted by Bankman-Fried
- In return, it accepted its own digital tokens FTT that have no underlying value, as collateral tokens, creating a financial hole
- Bankman-Fried was accused of siphoning off millions of dollars from the company accounts
- Suspicious bets and trades led to a run on the exchange and probes of fraud from federal authorities. Customers began to demand withdrawals to the tune of $6 billion (Rs 48,600 crore)
- A failed buyout by Binance, the world's largest crypto exchange, was the last nail in FTX's coffin. In 2019, Binance had invested in FTX, and reportedly held 5 per cent in the firm, but exited last year after receiving $2.1 billion (Rs 17,000 crore) in Binance's own stablecoin and FTT tokens

A LEHMAN BROTHERS MOMENT?

The other major concern at present is whether the FTX collapse will be a Lehman Brothers moment for the crypto industry, and lead to an overall crash of the sector. The bankruptcy of Lehman Brothers as a result of the US subprime crisis (where home prices collapsed after a housing bubble) led to a financial meltdown, the effect of which lasted for several years. According to Nandwani, the FTX muddle can indeed be considered crypto's Lehman Brothers moment. There could be a sharp correction in the sector, which will eventually lead to a clean-up, and likely tighter regulations. The only difference here seems to be that the Lehman crisis was much deeper, creating structural problems in the banking system. Some others had more